

TABLE 6.6 Relationship between P/E Ratios at Beginning of Year and Stock Returns over Following (Nonoverlapping) Two Years 1872 to 1999

	Below-Median Return	Above-Median Return	Total
Above-median P/E ratios	19	13	32
Below-median P/E ratios	13	19	32
Total	32	32	64

Chi-square = 1.56.
Median P/E ratio over 128 years (1872 to 1999) is 13.6 percent. Median return during a year is 10.50 percent.
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DIAGNOSTIC TESTING

These questions are designed to detect cognitive errors stemming from confirmation bias. To complete the test, select the answer choice that best characterizes your response to each item.

Confirmation Bias Test

- Question 1:** Suppose you have invested in a security after some careful research. Now, you see a press release that states that the company you've invested in may have a problem with its main product line. The second paragraph, however, describes a completely new product that the company might debut later this year. What is your natural course of action?
- a. I will typically take notice of the new product announcement and research that item further.
 - b. I will typically take notice of the problem with the company's product line and research that item further.

Question 2: Suppose you have invested in a security after some careful research. The investment appreciates in value but not for the reason you predicted (e.g., you were enticed by some buzz surrounding a new product, but resurgence by an older product line ultimately buoyed the stock). What is your natural course of action?